15. Income Taxes

Components of (Loss) Income Before Income Taxes

The components of (loss) income before income taxes consist of the following:

	For the Fiscal Year Ended		
	June 28, 2020	June 30, 2019	June 24, 2018
U.S.	$ (74,905)	$ (13,326)	$ (7,852)
Foreign	18,640	23,337	38,063
(Loss) income before income taxes	$ (56,265)	$ 10,011	$ 30,211

Components of Provision (Benefit) for Income Taxes

Provision (benefit) for income taxes consists of the following:

	For the Fiscal Year Ended		
	June 28, 2020	June 30, 2019	June 24, 2018
Current:			
Federal	$ 282	$ (178)	$ (4,918)
State	(118)	28	(416)
Foreign	4,819	7,282	9,639
Total current tax expense	4,983	7,132	4,305
Deferred:			
Federal	(3,783)	(813)	(5,315)
State	116	1,097	(872)
Foreign	(344)	139	391
Total deferred tax expense	(4,011)	423	(5,796)
Provision (benefit) for income taxes	$ 972	$ 7,555	$ (1,491)

U.S. Tax Reform

On December 22, 2017, the U.S. government enacted comprehensive tax legislation H.R. 1, formerly known as the Tax Cuts and Jobs Act. H.R. 1 included significant changes to existing tax law, including a permanent reduction to the U.S. federal corporate income tax rate from 35% to 21%, additional limitations on the deductions for executive compensation and interest expense, and the transition of the U.S. international tax system from a worldwide tax to a territorial tax system. As a fiscal-year taxpayer, certain provisions of H.R. 1 impacted UNIFI in fiscal 2018, including the change in the U.S. federal corporate income tax rate and the one-time transition tax ("toll charge"), while other provisions became effective for UNIFI at the beginning of fiscal 2019. The enactment of H.R. 1 resulted in recording a total provisional tax benefit of $396 for fiscal 2018. For a full description of the impact of H.R. 1 for fiscal 2018, refer to Note 14, "Income Taxes," in UNIFI's Annual Report on Form 10-K for fiscal 2018.

In fiscal 2019, UNIFI recorded an additional tax benefit of $843 related to the enactment of H.R. 1, which decreased the effective tax rate for the period by 8.4%. The total tax benefit related to the enactment of H.R. 1 was $1,239, primarily consisting of $3,986 of tax benefit related to the re-measurement of deferred tax balances, and $2,747 of tax expense related to the toll charge, net of foreign tax credits. Although UNIFI no longer considers these amounts provisional, the income tax effects of H.R. 1 may change following future legislation or further interpretation of H.R. 1 based on the publication of guidance from the U.S. Internal Revenue Service (the "IRS") and state tax authorities.

The Global Intangible Low-Taxed Income ("GILTI") provisions included in H.R. 1 require that certain income earned by foreign subsidiaries must be currently included in the gross income of the U.S. shareholder. These provisions were effective for UNIFI in fiscal 2019. UNIFI has elected to recognize GILTI as a current-period expense. Under this policy, UNIFI has not provided deferred taxes related to temporary differences that, upon their reversal, will affect the amount of income subject to GILTI in the period.

The GILTI provisions are complex and subject to continuing regulatory interpretation by the IRS. On July 20, 2020, the U.S. Treasury and the IRS issued final regulations under Internal Revenue Code Section 951A relating to the treatment under the GILTI regime of foreign income that is subject to a high rate of tax. The regulations are effective for fiscal 2021, but UNIFI can elect to apply them to fiscal 2019 and 2020. UNIFI is in the process of reviewing and estimating the impact of the regulations, but there is a reasonable possibility that application of the regulations could have a material effect on UNIFI's future income tax expense.

Utilization of Net Operating Loss Carryforwards

Domestic deferred tax expense includes the utilization of federal net operating loss ("NOL") carryforwards of $89 and $3,122 for fiscal 2020 and 2019, respectively. Foreign deferred tax expense includes the utilization of NOL carryforwards of $702, $655 and $773 for fiscal 2020, 2019 and 2018, respectively. State deferred tax expense includes the utilization of NOL carryforwards of $20, $106 and $116 for fiscal 2020, 2019 and 2018, respectively.

Effective Tax Rate

Reconciliation from the federal statutory tax rate to the effective tax rate is as follows:

	For the Fiscal Year Ended		
	June 28, 2020	**June 30, 2019**	**June 24, 2018**
Federal statutory tax rate	21.0%	21.0%	28.3%
Foreign income taxed at different rates	(1.2)	16.1	(2.4)
Repatriation of foreign earnings and withholding taxes	(2.0)	20.3	1.8
U.S. tax on GILTI	(5.0)	32.5	—
Change in valuation allowance	0.6	(1.5)	(12.9)
Foreign tax credits	0.9	(11.9)	(11.0)
Domestic production activities deduction	—	(5.6)	0.5
Research and other business credits	2.0	(7.7)	(1.8)
State income taxes, net of federal tax benefit	2.6	(0.6)	(3.9)
Change in uncertain tax positions	(0.3)	8.2	(15.1)
Nondeductible compensation	(0.8)	5.1	1.6
Nontaxable income	1.1	(4.2)	—
Valuation allowance related to loss on sale of investment in PAL	(19.3)	—	—
Tax expense on unremitted foreign earnings	(0.9)	—	—
Toll charge	—	0.7	23.9
Revaluation of U.S. deferred balances due to U.S. tax reform	—	3.1	(14.2)
Nondeductible expenses and other	(0.4)	—	0.3
Effective tax rate	(1.7)%	75.5%	(4.9)%

Deferred Income Taxes

The significant components of UNIFI's deferred tax assets and liabilities consist of the following:

	June 28, 2020	**June 30, 2019**
Deferred tax assets:		
Investments, including unconsolidated affiliates	$ 3,995	$ 5,680
Tax credits	19,457	17,237
Capital loss carryforwards	13,791	1,105
NOL carryforwards	3,907	4,381
Research and development costs	6,073	4,081
Other items	8,429	7,890
Total gross deferred tax assets	55,652	40,374
Valuation allowance	(37,439)	(26,020)
Net deferred tax assets	18,213	14,354
Deferred tax liabilities:		
PP&E	(17,733)	(18,325)
Other	(677)	(295)
Total deferred tax liabilities	(18,410)	(18,620)
Net deferred tax liabilities	$ (197)	$ (4,266)

Deferred Income Taxes – Valuation Allowance

In assessing its ability to realize deferred tax assets, UNIFI considers whether it is more-likely-than-not that some portion or all of the deferred tax assets will not be realized. The ultimate realization of deferred tax assets is dependent upon the generation of future taxable income during the periods in which those temporary differences become deductible. UNIFI considers the scheduled reversal of taxable temporary differences, taxable income in carryback years, projected future taxable income and tax planning strategies in making this assessment. Since UNIFI operates in multiple jurisdictions, the assessment is made on a jurisdiction-by-jurisdiction basis, taking into account the effects of local tax law.

The balances and activity for UNIFI's deferred tax valuation allowance are as follows:

	For the Fiscal Year Ended		
	June 28, 2020	June 30, 2019	June 24, 2018
Balance at beginning of year	$ (26,020)	$ (15,143)	$ (17,957)
(Increase) decrease in valuation allowance	(11,419)	(10,877)	2,814
Balance at end of year	$ (37,439)	$ (26,020)	$ (15,143)

Components of UNIFI's deferred tax valuation allowance are as follows:

	For the Fiscal Year Ended		
	June 28, 2020	June 30, 2019	June 24, 2018
Investments, including unconsolidated affiliates	$ (3,995)	$ (5,696)	$ (5,522)
NOL carryforwards	(2,542)	(2,943)	(3,086)
Capital loss carryforwards	(13,791)	(1,105)	(1,105)
Tax credits	(17,111)	(16,276)	(5,430)
Total deferred tax valuation allowance	$ (37,439)	$ (26,020)	$ (15,143)

During fiscal 2020, UNIFI's valuation allowance increased by $11,419. The increase was primarily driven by an increase in the valuation allowance on a capital loss generated by the sale of UNIFI's interest in PAL.

During fiscal 2019, UNIFI's valuation allowance increased by $10,877. The increase was primarily driven by an increase in the valuation allowance on foreign tax credits and certain state NOLs and credit carryforwards.

During fiscal 2018, UNIFI's valuation allowance decreased by $2,814. The decrease was primarily driven by the release of a valuation allowance on NOLs outside the U.S. consolidated tax filing group that are now able to be utilized, and a decrease related to U.S. deferred tax assets to reflect the lower federal ending deferred tax rate. The decrease was partially offset by an increase related to foreign tax credit carryforwards for which no benefit can be realized.

Unrecognized Tax Benefits

A reconciliation of beginning and ending gross amounts of unrecognized tax benefits is as follows:

	For the Fiscal Year Ended		
	June 28, 2020	June 30, 2019	June 24, 2018
Balance at beginning of year	$ 1,083	$ 166	$ 4,463
Gross increases related to current period tax positions	98	26	26
Gross increases (decreases) related to tax positions in prior periods	37	980	(119)
Gross decreases related to settlements with tax authorities	—	—	(4,204)
Gross decreases related to lapse of applicable statute of limitations	—	(89)	—
Balance at end of year	$ 1,218	$ 1,083	$ 166

Unrecognized tax benefits would generate a favorable impact of $1,112 on UNIFI's effective tax rate when recognized. UNIFI does not expect material changes in uncertain tax positions within the next 12 months. Expense (benefit) for interest and penalties recognized by UNIFI within the provision for income taxes was $69, $22 and $(1,030) for fiscal 2020, 2019 and 2018, respectively. UNIFI had $132, $63 and $41 accrued for interest and/or penalties related to uncertain tax positions as of June 28, 2020, June 30, 2019 and June 24, 2018, respectively.

Expiration of Net Operating Loss Carryforwards and Foreign Tax Credits

As of June 28, 2020, UNIFI had U.S. federal capital loss carryforwards of $54,164, U.S. state NOL carryforwards of $57,809 and foreign NOL carryforwards of $6,666, offset by a full valuation allowance. The NOL carryforwards begin expiring in varying amounts in fiscal 2022. As of June 28, 2020, UNIFI had the following carryforward attributes held outside of the U.S. consolidated tax filing group: U.S. federal NOL carryforwards of $4,383, U.S. federal capital loss carryforwards of $4,489, and U.S. state NOL carryforwards of $16,653. The U.S. federal capital loss carryforwards are offset with a full valuation allowance and the U.S. state

NOL carryforwards are partially offset by a valuation allowance. The NOL carryforwards held outside of the U.S. consolidated tax filing group begin expiring in fiscal 2021. As of June 28, 2020, UNIFI had U.S. federal foreign tax credit carryforwards of $13,485 and foreign tax credit carryforwards in foreign jurisdictions of $3,265, offset with a full valuation allowance. The foreign tax credit carryforwards begin expiring in varying amounts in fiscal 2021.

Tax Years Subject to Examination

Unifi, Inc. and its domestic subsidiaries file a consolidated federal income tax return, as well as income tax returns in multiple state and foreign jurisdictions. The tax years subject to examination vary by jurisdiction. UNIFI regularly assesses the outcomes of both completed and ongoing examinations to ensure that UNIFI's provision for income taxes is sufficient.

In fiscal 2020, the IRS initiated an audit for fiscal year 2018 and in fiscal 2019 initiated an audit for fiscal years 2015, 2016 and 2017. The audit was not concluded at the end of fiscal 2020. No material assessment is anticipated. In fiscal 2018, the IRS examined UNIFI's federal income tax returns for fiscal 2014 and 2015 and re-examined the federal income tax return for fiscal 2013. The examination closed with no proposed adjustments. In fiscal 2016, the North Carolina Department of Revenue initiated an audit for fiscal years 2012 through 2015 related to amended returns the Company filed. The audit was concluded during fiscal 2020 and resulted in taxes and interest of $568 being refunded.

UNIFI is currently under appeal in Colombia for tax years 2006 and 2007. UNIFI believes it is more-likely-than-not to conclude the appeal with no material assessment.

Statutes related to material foreign jurisdictions are open from January 1, 2014 and material state jurisdictions from June 29, 2015. Certain carryforward tax attributes generated in years prior remain subject to examination and could change in subsequent tax years.

Indefinite Reinvestment Assertion

As of June 28, 2020, taxes associated with the repatriation of earnings of foreign subsidiaries were not provided for on a cumulative total of $31,872 of undistributed earnings for certain foreign subsidiaries. UNIFI intends to reinvest these earnings indefinitely in such foreign subsidiaries. If these earnings were distributed in the form of dividends or otherwise, or if the shares of the relevant foreign subsidiaries were sold or otherwise transferred, UNIFI could be subject to additional tax liabilities. The amount of potential unrecognized deferred income tax liability related to these earnings is approximately $3,732.